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NATURE OF PROCEEDINGS: Hearing on Motion to Compel

Arbitration

The Motion to Compel Arbitration is granted, and the action is stayed pending arbitration.

BACKGROUND

Plaintiff Stashhh Loot, LLC (Plaintiff) filed this action against Whatnot, Inc. (Whatnot) and John Walters (Walters), alleging that Whatnot withheld cash compensation and equity promised in exchange for promotional, consulting, tradeshow, and warehouse-management services, and afterward exploited a confidential concept Plaintiff had developed on its own.

The causes of action are: (1) Breach of Contract; (2) Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Fraud (Intentional Misrepresentation); (4) Breach of Confidence; and (5) Specific Performance.

Whatnot filed a Motion to Compel Arbitration. Plaintiff filed an Opposition.

REQUEST FOR JUDICIAL NOTICE

Plaintiff requests judicial notice of the Notice of Errata filed in this action on May 21, 2026 (Errata), which attaches two agreements the Complaint identified as exhibits and omitted. The request is granted. (Evid. Code, §§ 452, subd. (d), 453.) Both sides treat the attachments as the agreements the parties executed, and both rely on them.

LEGAL STANDARD

Code of Civil Procedure section 1281.2 provides:

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] (a) The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement”

The moving party bears the burden of proving the existence of the agreement by a preponderance of the evidence, and the policy favoring enforcement “is insufficient to warrant imposing a higher burden on a party opposing arbitration.” (Rosenthal v.

Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 414.) Once existence is shown, the burden falls upon “the party opposing arbitration to demonstrate that an arbitration clause cannot be interpreted to require arbitration of the dispute.” (Coast Plaza

Doctors Hospital v. Blue Cross of California (2000) 83 Cal.App.4th 677, 686-687.) Arbitration is upheld “unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute.” (Id. at p. 686, quoting Bos Material Handling, Inc. v. Crown Controls Corp. (1982) 137 Cal.App.3d 99, 105.)

That policy does not override ordinary contract interpretation, and “the terms of the specific arbitration clause under consideration must reasonably cover the dispute as to which arbitration is requested.” (Ahern v. Asset Management Consultants, Inc. (2022) 74 Cal.App.5th 675, 688 (Ahern).) A contract is interpreted to give effect to the mutual intention of the parties as it existed at the time of contracting (Civ. Code, § 1636), the whole of a contract is taken together so that each clause helps interpret the other (Civ. Code, § 1641), and however broad the terms of a contract, “it extends only to those things concerning which it appears that the parties intended to contract” (Civ. Code, § 1648).

ANALYSIS

I. The Agreements

Several contracts bear on this motion, and three of them address where a dispute between these parties will be resolved.

Plaintiff and Whatnot first documented their services bargain in a signed schedule of work and fees with a starting date of February 1, 2023, which set out \$620,000 in cash and \$50,000 in equity and contemplated that a binding contract would follow. (Errata, Ex. A.) They then executed a Master Services Agreement (MSA) effective February 1, 2023, retaining Whatnot as the customer and Plaintiff as the service provider, together with a Statement of Work (SOW) effective the same day and running through March 31, 2024. (Errata, Ex. B, MSA, preamble; SOW, preamble & § 3.) The Statement of Work repeats the same services and consideration, and it provides that Whatnot will recommend to its board an option to purchase 308 shares of Class A Common Stock vesting in 12 monthly installments. (Errata, Ex. B, SOW, §§ 1, 2 & 4.) It also requires Plaintiff to host a minimum of three livestreams per week on Whatnot's platform, to keep a minimum of 100 different products available in the Whatnot marketplace, and to refrain from selling on competing platforms. (Errata, Ex. B, SOW, § 1.) Neither the Master Services Agreement nor the Statement of Work contains an arbitration provision. Section 20 of the MSA provides that "[a]ny action arising from or relating to this Agreement will be filed only in a federal or state court located in Los Angeles, California," that the parties irrevocably consent and submit to the personal jurisdiction of those courts, and that neither will claim that a court in that forum is an improper or inconvenient venue. (Errata, Ex. B, MSA, § 20.)

Six months later the parties executed the Purchase of Future Revenue Agreement (Revenue Agreement), dated as of July 15, 2023 and signed on August 4, 2023 by Plaintiff's President. (Hirsch Decl., ¶ 17 & Ex. D, Order Form.) Whatnot bought a set amount of Plaintiff's future sales revenue for \$450,000, recouped through an additional 3% commission charged against Plaintiff's merchant account on every item Plaintiff sold on the Whatnot platform until Whatnot recovered the price or four years passed. (Hirsch Decl., Ex. D, Order Form.) The Order Form also provides that Plaintiff will not sell during the term on platforms Whatnot deems competitive. (Ibid.) Section 20 provides that the parties "agree to arbitrate any and all claims and disputes relating in any way to this Agreement or the parties' dealings with one another ('Claims'), except for Claims concerning the validity, scope or enforceability

of this Arbitration Agreement, through BINDING INDIVIDUAL ARBITRATION,” designates the American Arbitration Association, and gave Plaintiff 60 days after signing to reject the arbitration agreement in writing. (Hirsch Decl., Ex. D, § 20.) Plaintiff did not do so. (Hirsch Decl., ¶ 18.) Section 22 provides that the Revenue Agreement, its exhibits and addenda, and Whatnot’s service terms of use and privacy policy “represents the entire understanding between the parties with respect to the subject matter hereof,” and that no provision “may be amended or waived except by a writing signed by the parties hereto.” (Hirsch Decl., Ex. D, § 22.)

Plaintiff opened an account on the Whatnot platform on or about May 25, 2020 and last used the account on June 25, 2026. (Hirsch Decl., ¶¶ 9, 14.) Each updated version of Whatnot’s Terms of Service has contained a mandatory arbitration provision, and the version in effect when Plaintiff last used the account was updated March 13, 2026. (Hirsch Decl., ¶¶ 13-14 & Ex. B.) Plaintiff did not opt out of section 21 of that version within the 30 days it allowed, and section 21 requires arbitration of “any dispute of any kind between you and Whatnot arising under or related to these Terms.” (Hirsch Decl., ¶ 16 & Ex. B, § 21 & subd. (a).)

Whatnot established two written agreements to arbitrate, and Plaintiff refuses to arbitrate. Plaintiff does not dispute that it assented to each provision, and it does not contend that either is unconscionable or otherwise unenforceable. (Reply, at p. 4.) Rather Plaintiff argues that the scope of those provisions do not reach this action. Plaintiff adds that the MSA’s forum provision requires these claims to be filed in court.

II. Revenue Agreement

Whatnot contends that every cause of action falls within section 20 of the Revenue Agreement, which covers claims relating in any way to that agreement or to the parties’ dealings with one another.

Section 20 states two categories of covered claims in the alternative: those relating in any way to the Revenue Agreement, and those relating in any way to the parties’ dealings with one another. Plaintiff reads the second category as though it said, “the parties’ dealings with one another under this Agreement.” However, no such limitation appears.

The question is what “dealings with one another” meant to these parties in

August 2023. By then Plaintiff had held a seller account on the Whatnot platform for more than three years, had contracted to provide Whatnot with tradeshow, warehouse, consulting, and livestream services, had agreed not to sell on competing platforms, and had bound itself to host three livestreams a week and keep 100 products in the Whatnot marketplace. (Hirsch Decl., ¶ 9; Errata, Ex. B, SOW, §§ 1-2.) The Revenue Agreement then financed the inventory Plaintiff sold on that platform, recouped its price through a commission on those sales, imposed a platform-exclusivity covenant of the same kind, and integrated Whatnot's service terms of use. (Hirsch Decl., Ex. D, Order Form & § 22.) Against that background, "the parties' dealings with one another" denotes, at least, the commercial course of dealing in which these two parties were already engaged.

Plaintiff essentially argues that it occupied two positions, serving Whatnot as a vendor under the Master Services Agreement and selling to the public as a merchant on Whatnot's platform, so that the services relationship and the financing relationship were separate enterprises. The record does not separate this framing. The Statement of Work required Plaintiff to host three livestreams each week on Whatnot's platform and to keep 100 different products available in the Whatnot marketplace, and those are acts Plaintiff performed as a merchant on the platform and owed Whatnot as the service it had sold. (Errata, Ex. B, SOW, § 1.) The Revenue Agreement financed the inventory those same sales moved and recouped its price from them. (Hirsch Decl., Ex. D, Order Form.) Section 20's second category asks what these parties did with one another, not in which capacity either acted, and the two capacities here ran through the same conduct.

Here, each cause of action arises from that course of dealing. First, the contract, implied covenant, and specific performance counts seek the cash compensation, the \$50,000 equity, and the stock option Whatnot promised in exchange for services Plaintiff performed for Whatnot. (Compl., ¶¶ 82, 84, 97, 128.) Second, Plaintiff alleges that Walters made representations on Whatnot's behalf to induce Plaintiff to continue and expand its performance, among them that Whatnot would finance at least \$7,500 of Plaintiff's \$8,000 monthly warehouse lease, honor the equity and the stock option, and collaborate on Plaintiff's concepts. (Compl., ¶¶ 101-102.) Third, Plaintiff alleges that it disclosed its concept to Whatnot in confidence for the limited purpose of exploring a collaboration. (Compl., ¶¶ 114-115.) Each of these disputes concerns what Whatnot did in the course of that relationship.

That the fraud and breach of confidence counts sound in tort changes nothing. Broad arbitration clauses “are consistently interpreted as applying to extra-contractual disputes between the contracting parties.” (*Khalatian v. Prime Time Shuttle, Inc.* (2015) 237 Cal.App.4th 651, 660.)

Plaintiff further argues that its references to Whatnot’s \$31,000 commission demand describe conduct and do not make the Revenue Agreement the source of any right it asserts, and it rests the point on the statement that “the evidence Marsch may choose to employ in proving his claims will not, by itself, demonstrate the existence of such an agreement.” (Compl., ¶¶ 61, 70-71, 96; *Marsch v. Williams* (1994) 23 Cal.App.4th 250, 257 (*Marsch II*).)

That would matter under the “claims and disputes relating in any way to this Agreement” prong of but fails as to the “parties’ dealings with one another” prong. In *Marsch*, a case distinguishable from this one, the plaintiff sued on the agreements of a La Jolla real estate partnership that contained no arbitration clause, and the defendant invoked the arbitration provision of a separate Horizon partnership formed thirteen years later among a different group. (*Marsch II*, supra, 23 Cal.App.4th at pp. 252-253.) A companion appeal decided the same day, from the judgment confirming the Horizon arbitration award, sets out the Horizon provision, which covered “[a]ny dispute, controversy or claim arising out of, or relating to, this Agreement or any alleged breach thereof.” (*Marsch v. Williams* (1994) 23 Cal.App.4th 238, 243, fn. 3 (*Marsch I*).)

Plaintiff’s reliance on *Moritz v. Universal City Studios LLC* (2020) 54 Cal.App.5th 238 is also misplaced. A producer there sued on an alleged oral agreement to make a film that the earlier written agreements did not concern, and those agreements were mentioned in the complaint only as historical background. (*Id.* at p. 246.) The clauses covered disputes arising out of or relating to the agreements themselves. Therefore, the court asked whether the dispute had “its real source in the contract.” (*Ibid.*) Section 20’s second category locates the source in the parties’ dealings, and this dispute has its source there. The Revenue Agreement also bears on it, financing the inventory Plaintiff sold while performing the services bargain and binding Plaintiff to the same platform exclusivity that bargain imposed. (*Hirsch Decl.*, Ex. D, Order Form.)

Plaintiff invokes *Ahern* to the same end. Investors there sued over

misrepresentations inducing their purchase of property interests, and the defendants invoked an arbitration clause in a separate cotenancy agreement governing management of the same property. The court held that the claims were not sourced in the cotenancy relationship but in the distinct purchase-and-sale relationship. (Ahern, supra, 74 Cal.App.5th at pp. 688-689, 692-693.) The clause that produced that result was, in the court's own words, "particularly narrow, both omitting any general reference to disputes 'related to' the agreement and specifically providing for arbitration only of those disputes arising in connection with 'the interpretation and enforcement of the provisions of the agreement.'" (Id. at p. 690.) Section 20 is not built that way, and its second category directs the inquiry to these parties' dealings rather than to a single instrument.

Nor does *Chan v. Drexel Burnham Lambert, Inc.* (1986) 178 Cal.App.3d 632, 643, change the result. The canon stated there, that doubt about contract interpretation should be resolved in favor of preserving the jury trial right, governed whether an arbitration provision had been incorporated into the parties' form at all. Plaintiff does not dispute that its President signed section 20 and that it let the 60-day rejection period pass. (Hirsch Decl., ¶ 18 & Ex. D, Order Form.)

Accordingly, section 20 of the Revenue Agreement covers each cause of action Plaintiff pleads against Whatnot, and those claims are ordered to arbitration before the American Arbitration Association as section 20 provides.

III. Forum Provision

Plaintiff argues that section 20 of the MSA requires any action arising from or relating to that agreement to be filed in a Los Angeles court, and that reading the Revenue Agreement to cover these claims would render the MSA's provision superfluous, void, or inexplicable.

Section 20 of the MSA says where an action will be filed. It records the parties' consent to personal jurisdiction in the courts it names, and it waives any objection to venue there. (Errata, Ex. B, MSA, § 20.) Nothing in it mentions arbitration, and nothing in it promises that a dispute will be adjudicated by the court in which the action is filed.

Section 20 of the Revenue Agreement excepts from arbitration "Claims concerning the validity, scope or enforceability of this Arbitration

Agreement,” and a claim in that excepted class is filed in court. (Hirsch Decl., Ex. D, § 20.) This motion raises a claim in that class, and Whatnot brought it in the court the MSA designates. A petition to confirm, correct, or vacate an award goes to the same place, as does any claim the arbitration agreement does not cover.

Whatnot contends in the alternative that section 22 of the Revenue Agreement superseded the MSA’s forum provision. Section 22 provides that the Revenue Agreement, together with its exhibits and addenda and Whatnot’s service terms of use and privacy policy, “represents the entire understanding between the parties with respect to the subject matter hereof and supersedes all prior and contemporaneous understandings and agreements with respect to such subject matter.” (Hirsch Decl., Ex. D, § 22.)

How these parties would resolve disputes about their dealings with one another is part of the Revenue Agreement’s subject matter. Section 20 is a term of that Agreement, it fixes the forum for every claim it covers, and section 22 integrates Whatnot’s service terms of use into the Agreement alongside its own exhibits and addenda. An instrument that specifies the forum for disputes about the parties’ dealings, and whose integrated whole includes the terms governing Plaintiff’s use of the platform, has made dispute resolution one of the things it is about. Section 22 therefore supersedes the prior understanding on that subject, and section 20 of the MSA is that understanding.

Accordingly, the MSA’s forum provision does not defeat the parties’ agreement to arbitrate.

IV. Stay

Code of Civil Procedure section 1281.4 provides that where a court has ordered arbitration of a controversy at issue in a pending action, “the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.”

Accordingly, the action is ordered stayed pending arbitration.

CONCLUSION

The Motion to Compel Arbitration is granted, and the action is stayed pending arbitration.